Leadership

THEORY, APPLICATION, & SKILL DEVELOPMENT 5e



LUSSIER | ACHUA

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1

Who Is a Leader and What Skills Do Leaders Need?

CHAPTER OUTLINE

Leadership Is Everyone's Business

Defining Leadership

Leadership Skills

Managerial Leadership Roles

Levels of Analysis of Leadership Theory

Leadership Theory Paradigms

Objectives of the Book

Organization of the Book

Steve Jobs—Apple

Learning Outcomes

After studying this chapter, you should be able to:

1. Briefly describe the five key elements of leadership. p. 5
2. Identify and define the managerial leadership skills. p. 9
3. List the ten managerial roles based on their three categories. p. 13
4. Explain the interrelationships among the levels of leadership analysis. p. 18
5. Describe the major similarity and difference between the trait and behavioral leadership theories. p. 19
6. Discuss the interrelationships between trait and behavioral leadership theories and contingency theories. p. 20
7. Define the following **key terms** (in order of appearance in the chapter):

leadership
influencing
technical skills
interpersonal skills
decision-making skills
managerial role categories
interpersonal leadership roles
informational leadership roles
decisional leadership roles
levels of analysis of leadership theory
leadership theory
leadership theory classifications
leadership paradigm
leadership trait theories
behavioral leadership theories
contingency leadership theories
integrative leadership theories
management to the leadership theory paradigm
evidence-based management (EBM)

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OPENING CASE *APPLICATION*

We begin each chapter by introducing an exceptional leader and company, followed by some questions for you to answer, and we answer the questions throughout the chapter. At age 29 Andrew Mason became the founder and CEO of Groupon (the name is a combo of group and coupon), a Chicago-based Web site.

Launched in November 2008 during the recession, Groupon features a daily deal on the best stuff to do, see, eat, and buy in more than 500 markets and 44 countries in local markets across North America and regional offices in Europe, Latin America, Asia, and throughout the world, and soon beyond.[1] It has been called the fastest-growing Web company ever (yes, faster than Google, Facebook, Amazon.com, etc.), and it has also become profitable much faster. More than a third of its sales already come from overseas.[2]

Mason grew up in Mt. Lebanon, Pennsylvania, a suburb of Pittsburgh. He started his entrepreneurial career at age 15 when he started a Saturday morning delivery service in his neighborhood called Bagel Express, and changed to the more profitable selling of Costco candy bars. He went to Chicago to attend Northwestern University where he earned a degree in music in 2003. After graduating, he was still in a band and the self-taught computer programmer landed a coding gig at InnerWorkings. In 2007 he founded The Point and in 2008 Groupon.[3]

Although he has been described as "hyperkinetc" and "a tough negotiator," he isn't your typical CEO yet. That is part of his charm. He's not used to talking about himself, and said "it feels strange." "I just like to build things and do things."[4] Headquarters in Chicago is a large open room with row upon row of shiny white desks without cubical walls, and Mason's desk, no different from any other, is in the middle of the hubbub.[5]

OPENING CASE QUESTIONS:

1. **Why is Groupon so successful?**
2. **Does Groupon use our definition of leadership ("the influencing process of leaders and followers to achieve organizational objectives through change")?**
3. **What managerial leadership skills does CEO Andrew Mason use at Groupon? Can leadership skills be developed, and can you develop your leadership skills through this course?**
4. **What managerial leadership roles does CEO Andrew Mason perform at Groupon?**

Can you answer any of these questions? You'll find answers to these questions about Groupon and its leadership throughout the chapter.

To learn more about Groupon, visit the company's Web site at **http://www.Groupon.com/about**.

The focus of this chapter is on helping you understand what leadership is and what this book is all about. As you can see in the chapter outline, we begin by discussing why leadership is important and defining leadership. Then we explain the three managerial leadership skills and the ten roles that managerial leaders perform. Next we explain the three levels of leadership analysis, which provides the framework for the book. After explaining the four major leadership paradigms that have developed over the years, we end this chapter by stating the objectives of the book and presenting its organization.

Leadership Is Everyone's Business

Let's begin with a discussion of the importance of leadership.

Here are just a few reasons why leadership is so important:

- Leadership remains one of the oldest domains of management research.[6] And research clearly links managerial leadership to positive consequences for both the individual and organizations, including financial performance. Also, substantial

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evidence demonstrates that sound managerial leadership practice is critical to creating effective organizations.[7]

- Leadership is one of the most debated and discussed topics and receives extensive coverage in the popular business press as well.[8] In the *Academy of Management Journal*, the number of organizational behavior articles researching leadership is second only to groups/teams.[9]
- Effective global leaders are a vital asset for organizations today as they can offer a competitive advantage.[10] CEO Mike Duke of Walmart® stated that his biggest challenge is to continue to develop the leadership talent to grow the company around the world.[11]
- Effective leadership can make a positive difference in the lives of people, the functioning of groups, and the success of organizations. Effective leadership has been shown to enhance employees' satisfaction with their jobs, motivation at work, and task performance. Some scholars have even suggested that effective leadership is essential for societies to progress in positive directions, and without it, the social fabric of our communities and organizations would fall apart.[12] On the other side, a bad boss can cause employees a lot of stress and heath-related problems.[13]
- The great debate over how much a chief executive officer (CEO) matters rages on.[14] CEOs like Steve Job of Apple have the power to make or break a company.[15] We will discuss how Jobs came back and saved Apple in the end-of-chapter case. During and coming out of a recession is a brutal time for anyone in leadership.[16] Studies show that the right person in the CEO position may be more important in bad times.[17] Nokia hired Stephen Elop and Yahoo hired Carol Bartz to be the CEOs to turn these companies around.[18] Only time will tell if they can succeed.

As the examples illustrate, leadership matters, and there is a great need for better leaders.[19] If we want to be successful, we must develop our leadership skills.[20] To this end, the focus of this book is to help you develop your leadership skills, so that you can become a successful leader in your personal and professional life.

OPENING CASE *APPLICATION*

1. Why is Groupon so successful?

Founder and CEO Andrew Mason is the key to Groupon's success. Groupon's company philosophy is pretty simple: We treat our customers the way we like to be treated.[21] Mason is the one who came up with the idea to fundamentally change the way that people buy from local businesses in the same way that e-commerce has changed the way that people buy products. Mason says it's like Amazon for small businesses. Groupon gives small business the opportunity to advertise their products and services without paying any up-front costs, along with the opportunity to get repeat business from new customers; at the same time, Groupon gives coupon buyers a great deal. It is especially helpful to new businesses without a customer base.[22]

Part of the problem with many online businesses is figuring out how to make a profit. YouTube, founded in 2005 (now owned by Google), still hasn't made a profit, while it only took Groupon seven months to turn a profit.[23] Mason's business model for making money is a three-step process. (1) Its salespeople approach a small business to set up a coupon promotion. (2) Groupon offers, sells, and collects the coupon money online. People buy the coupon from Groupon, which usually gets them around 50 percent off the regular price. (3) The business and Groupon share the profits. Groupon typically gives 50 percent, minus a small credit card fee, to the local business.[24] Plus, Groupon has a steady flow of quick cash to continually grow the business.

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YOU Make the ETHICAL Call

1.1 *Is Leadership Really Important?*

Scott Adams is the creator of the cartoon character Dilbert. Adams makes fun of managers, in part because he distrusts top-level managers, saying that leadership is really a crock. Leadership is about manipulating people to get them to do something they don't want to do, and there may not be anything in it for them. CEOs basically run the same scam as fortune-tellers, who make up a bunch of guesses and when by chance one is correct, they hope you forget the other errors. First, CEOs blame their predecessors for anything that is bad, then they shuffle everything around, start a new strategic program, and wait. When things go well, despite the CEO, the CEO takes the credit and moves on to the next job. Adams says we may be hung up on leadership as part of our DNA. It seems we have always sought to put somebody above everybody else.[25]

1. Do you agree with Scott Adams that leadership is a crock?
2. Do we really need to have someone in the leadership role?

Learning Outcome 1 *Briefly describe the five key elements of leadership.*

Defining Leadership

The topic of leadership has generated excitement and interest since ancient times. When people think about leadership, images come to mind of powerful dynamic individuals who command victorious armies, shape the events of nations, develop religions, or direct corporate empires. How did certain leaders build such great armies, countries, religions, and companies? Why do certain leaders have dedicated followers while others do not? Why were Gandhi, Mother Theresa, Martin Luther King, and Nelson Mandela such influential leaders? How did Adolf Hitler rise to a position of great power? In this book, you will learn the major leadership theories and research findings regarding leadership effectiveness.

There is no universal definition of leadership because leadership is complex, and because leadership is studied in different ways that require different definitions. As in leadership research studies, we will use a single definition that meets our purpose in writing this book. Before you read our definition of leadership, complete Self-Assessment 1 to get a better idea of your leadership potential. In the following section, we will discuss each question as it relates to the elements of our leadership definition and to your leadership potential.

SELF-ASSESSMENT 1 Leadership Potential

As with all of the self-assessment exercises in this book, there are no right or wrong answers, so don't try to pick what you think is the right answer. Be honest in answering the questions, so that you can better understand yourself and your behavior as it relates to leadership.

For each pair of statements distribute 5 points, based on how characteristic each statement is of you. If the first statement is totally like you and the second is not like you at all, give 5 points to the first and 0 to the second. If it is the opposite, use 0 and 5. If the statement is usually like you, then the distribution can be 4 and 1, or 1 and 4.

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(Self-Assessment 1 continued)

If both statements tend to be like you, the distribution should be 3 and 2, or 2 and 3. Again, the combined score for each pair of statements must equal 5.

Here are the scoring distributions for each pair of statements:

0–5 or 5–0	One of the statements is totally like you, the other not like you at all.
1–4 or 4–1	One statement is usually like you, the other not.
2–3 or 3–2	Both statements are like you, although one is slightly more like you.

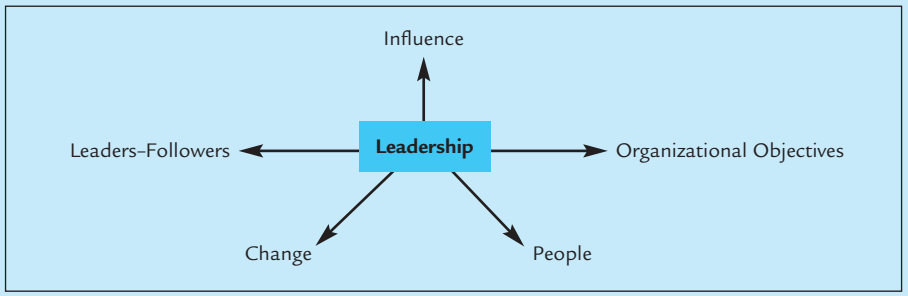
1. _____ I'm interested in and willing to take charge of a group of people.
   _____ I want someone else to be in charge of the group.
2. _____ When I'm not in charge, I'm willing to give input to the leader to improve performance.
   _____ When I'm not in charge, I do things the leader's way, rather than offer my suggestions.
3. _____ I'm interested in and willing to get people to listen to my suggestions and to implement them.
   _____ I'm not interested in influencing other people.
4. _____ When I'm in charge, I want to share the management responsibilities with group members.
   _____ When I'm in charge, I want to perform the management functions for the group.
5. _____ I want to have clear goals and to develop and implement plans to achieve them.
   _____ I like to have very general goals and take things as they come.
6. _____ I like to change the way my job is done and to learn and do new things.
   _____ I like stability, or to do my job the same way; I don't like learning and doing new things.
7. _____ I enjoy working with people and helping them succeed.
   _____ I don't really like working with people and helping them succeed.

To determine your leadership potential score, add up the numbers (0–5) for the first statement in each pair; don't bother adding the numbers for the second statement. The total should be between 0 and 35. Place your score on the continuum at the end of this assessment. Generally, the higher your score, the greater your potential to be an effective leader. However, the key to success is not simply potential, but persistence and hard work. You can develop your leadership ability through this course by applying the principles and theories to your personal and professional lives.

0 — 5 — 10 — 15 — 20 — 25 — 30 — 35
Lower leadership potential *Higher leadership potential*

Leadership *is the influencing process of leaders and followers to achieve organizational objectives through change.* Let's discuss the five key elements of our definition; see Exhibit 1.1 for a list.

EXHIBIT 1.1 Leadership Definition Key Elements



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Leaders–Followers

Question 1 of Self-Assessment 1 is meant to get you thinking about whether you want to be a leader or a follower. If you are not interested and not willing to be in charge, you

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are better suited to be a follower. However, as you will learn in this section, good followers also perform leadership roles when needed.[26] And followers influence leaders. Thus, in our definition of leadership, the influencing process is *between* leaders and followers, not just a leader influencing followers; it's a two-way street.[27] Knowing how to lead and developing leadership skills will make you a better leader and follower.[28] So whether you want to be a leader or a follower, you will benefit from this book.

Throughout this book, leadership is referred to in the context of formal organizational settings in business corporations (GE, IBM), government agencies (Department of Motor Vehicles, the Police Department), and nonprofit organizations (Red Cross, Springfield College). Organizations have two major classifications of employees: managers, who have subordinates and formal authority to tell them what to do; and employees, who do not. All managers perform four major functions: planning, organizing, leading, and controlling. Leadership is thus a part of the manager's job. However, there are managers—you may know some—who are not effective leaders. There are also nonmanagers who have great influence on managers and peers.[29]

Therefore, in this book we do not use the terms *manager* and *leader* interchangeably. When we use the word *manager,* we mean a person who has a formal title and authority. When we use the term *leader,* we mean a person who may be either a manager or a nonmanager. A leader always has the ability to influence others; a manager may not. Thus, a leader is not necessarily a person who holds some formal position such as manager.

WORK Application **1**
Recall a present or past job. Were you both a leader and a follower? Explain.

A *follower* is a person who is being influenced by a leader. A follower can be a manager or a nonmanager. Good followers are not "yes people" who simply follow the leader without giving input that influences the leader. In short, effective leaders influence followers, and their followers influence them.[30] The qualities needed for effective leadership are the same as those needed to be an effective follower. Throughout this book, we use the term *behavior* when referring to the activities of people or the things they do and say as they are influenced. You will learn more about followership in Chapter 7.

As implied in question 2 of Self-Assessment 1, good followers give input and influence leaders. If you want to be an effective follower, you need to share your ideas. Also, as a leader you need to listen to others and implement their ideas to be effective. According to GE CEO Jeff Immelt, GE is not run like a big company; it is run like a big partnership, where every leader can make a contribution not just to their job, but to the entire company.[31]

Influence

Influencing *is the process of a leader communicating ideas, gaining* acceptance of them, and motivating followers to support and implement the ideas through change. Effective leaders have the ability to influence others.[32] Let's face it, we all want to get our way, which is being influential.[33] Question 3 of Self-Assessment 1 asked if you were interested in and willing to influence others, as a leader or follower. When you have a management position, you have more power to influence others. But, effective followers also influence others. Your ability to influence others can be developed. Influencing includes power, politics, and negotiating; you will learn more about how to influence others in Chapter 5.

WORK Application **2**
Briefly explain the influencing relationship between the leader and followers where you work(ed).

Influencing is also about the relationship between leaders and followers. Managers may coerce subordinates to influence their behavior, but leaders do not. Leaders gain the commitment and enthusiasm of followers who are willing to be influenced.[34] Most of the leadership research is concerned with the relationship between leaders and followers. Effective managers know when to lead and when to follow. Thus, leaders and followers often change roles throughout the influencing process.[35] Question 4 of Self-Assessment 1 asked if you want to share management responsibility as a leader.

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Organizational Objectives

WORK Application **3**
State one or more objectives from an organization where you work(ed).

Effective leaders influence followers to think not only of their own interests but also of the interest of the organization through a shared vision. Leadership occurs when followers are influenced to do what is ethical and beneficial for the organization and themselves. Taking advantage of followers for personal gain is not part of leadership. Members of the organization need to work together toward an outcome that the leader and followers both want, a desired future or shared purpose that motivates them toward this more preferable outcome. As implied in question 5 of Self-Assessment 1, effective leaders set clear goals.[36] You will learn how to set objectives in Chapter 3.

Change

WORK Application **4**
Are the managers where you work(ed) effective at influencing their employees to bring about change? Explain.

Influencing and setting objectives is about change. Organizations need to continually change, to adapt to the rapidly changing global environment.[37] GE is the only company listed in the Dow Jones Industrial Index today that was also included in the original index in 1896. The other companies may have become too comfortable with doing business the same old way, perhaps causing these former business stars to fade. Effective leaders realize the need for continual change to improve performance.

Statements like these are not in a successful leader's vocabulary: *We've always done it this way; We've never done it that way before; It can't be done; No one else has done it;* and *It's not in the budget.* Leadership involves influencing followers to bring about change toward a desired future for the organization. The company Andrew Mason most admires is Netflix because it continues to change its business model.[38]

As implied in question 6 of Self-Assessment 1 and the information in this section, to be an effective leader and follower you must be open to change.[39] The people who advance in organizations are those who are willing to take a risk and try new things.[40] When was the last time you did something new and different? You will learn more about leading change in Chapter 11.

People

WORK Application **5**
Do managers where you work(ed) treat their employees as valuable assets? Explain.

Although the term *people* is not specifically mentioned in our definition of leadership, after reading about the other elements, you should realize that leadership is about leading people.[41] As implied in question 7 of Self-Assessment 1, to be effective at almost every job today, you must be able to get along with people.[42] Effective leaders and followers enjoy working with people and helping them succeed.[43] You will learn how to develop your people skills throughout this book.

Research, experience, and common sense all point to a direct relationship between a company's financial success and its commitment to leadership practices that treat people as assets.[44] There is little evidence that being a mean, tough manager is associated with leadership success. It is the collective efforts of all people contributing that make things happen.[45]

OPENING CASE *APPLICATION*

2. Does Groupon use our definition of leadership ("the influencing process of leaders and followers to achieve organizational objectives through change")?

Andrew Mason is clearly the *leader* at Groupon, but he also gets ideas from his *followers*. Mason is also very *influential*. He convinced investors to give him money to start Groupon, gets local businesses to offer coupons, and customers to buy them. Mason has a clear shared vision and *objectives* for the company. Groupon is fundamentally *changing* the way

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(Opening Case Application 2 continued)

that people buy from local businesses and how the firms advertise. Groupon is about *people*. Groupon is a young company hiring young workers at a rapid pace; the average age is just 25.[46] It takes both users and merchants in each city; this is why Groupon has thousands of salespeople, often called Mason's army of sales reps, and they have a "War Room" to discuss strategy to continue growth and to defend its market share from copycats.[47]

Learning Outcome 2 — *Identify and define the managerial leadership skills.*

Leadership Skills

In this section, let's start by answering the age-old question—are leaders born or made and can leadership be taught and skills developed—and then we will discuss the three skills managerial leaders need to succeed. But first complete Self-Assessment 2 to determine your managerial leadership skills.

Are Leaders Born or Made?

WORK Application **6**
Do you believe that you are a born leader? Do you believe that you can develop your leadership skills to improve job performance?

Are leaders born or made, or what determines leadership—nature or nurture? You may think this is a trick question, because most researchers say the answer is both. Effective leaders are not simply born or made. They are born with some leadership ability and develop it. So both perspectives add to the debate on the origins of leadership skills.[48] You will learn more about leadership traits (nature) in Chapter 2.

Some go so far as to say that leaders are definitely made, not born, and that everyone has equal potential to develop leadership skills (nurture). NFL Greenback Packers legendary football coach Vince Lombardi said, "Leaders are made, they are not born. They are made by hard effort."[49] Whatever your leadership ability is now, you can invest in developing your leadership skills, or you can allow them to remain as they are now. You may never become the CEO of an organization, but you can improve your leadership knowledge, ability, and skill through this course.[50] As Vince Lombardi would put it, you can develop your leadership skills through this course if you put in the effort and work hard at it. We'll talk more about this in the last section of this chapter.

SELF-ASSESSMENT 2 **Managerial Leadership Skills**

Rate each statement by how well the behavior describes you on a scale of 1–5.

1 Doesn't describe me — 2 — 3 — 4 — 5 Describes me

_____ 1. I enjoy working with things.
_____ 2. I enjoy working with people.
_____ 3. I enjoy working with conceptual ideas.
_____ 4. I like to work with technical things like computers and equipment.
_____ 5. I like to figure out people's feeling, attitudes, and motives.
_____ 6. I like to solve problems.
_____ 7. Following directions and procedures comes easy for me.

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(Self-Assessment 2 continued)

_____ 8. Getting along with a variety of people comes easy for me.

_____ 9. Analytical and quantitative reasoning comes easy for me.

_____ 10. I'm good at getting a task done by the deadline.

_____ 11. I'm good at getting people to overcome conflict and work together.

_____ 12. I'm good at figuring out ways of overcoming barriers to get things done.

To determine your score, add up the numbers (1–5) for each skill and place them on the lines below. Each skill score should be between 5 and 20.

_____ **Technical skill** (items 1, 4, 7 10)

_____ **Interpersonal skill** (items 2, 5, 8, 11)

_____ **Decision-making skill** (items 3, 6, 9, 12)

Your score for each skill is essentially a measure of your preference. As the first three questions ask, do you prefer working with things, people, or conceptual ideas, or are they equal? In this section, you will learn about these three skills and throughout the book you will be given the opportunity to develop your managerial leadership skills.

Can Leadership Be Taught and Skills Developed?

Another question to answer is: Can leadership be taught and skills developed?[51] Everyone has potential to lead, and leadership skills can be developed.[52] If leaders are born and skills could not be developed, leading business schools would not be teaching leadership and you would not be taking this course.[53] Also, major corporations would not spend millions of dollars on leadership training each year. A survey found that 54 percent of large companies are developing the leadership skills of internal executives with the goal of one day becoming a CEO successor.[54] GE has a reputation for developing leaders, and for having managers who leave to become executives and CEOs of other companies.[55]

Leadership development is a multibillion industry including both in-house and consulting services.[56] The Center for Creative Leadership (http://www.ccl.org) is one of the world's most respected nonprofit consulting organizations that conducts research and develops leaders in all sectors of the global economy. Clearly, it would not be in business if its global client organizations did not believe it can develop leadership skills.

Managerial Leadership Skills

When we combine our knowledge, skills, and ability (KSAs), they are often referred to as "human capital"[57] and "competencies."[58] Leadership effectiveness stems from managerial competence and support.[59] Now let's discuss the three management skills that all leaders need to be successful—technical, interpersonal, and decision-making skills—and the differences in the skills needed based on the level of management.

But first, are they these skills really all that important? According to a survey of recruiters, the most important attributes they seek in a new employee, out of the 26 they listed, were: (1) communication and interpersonal skills, 89%); (2) ability to work well within a team (which takes interpersonal and decision making skills, 87%; and (3) analytical and problem-solving skills (which is part of decision-making skills, 85%.[60] All employees today need good management skills.[61] Because managerial leadership skills are so important, the focus of this book is on developing our skills.

Technical Skills

Technical skills *involve the ability to use methods and techniques to perform a task.* This includes knowledge about methods, processes, procedures and techniques, and the

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ability to use tools and equipment to perform a task. Technical skills can also be called *business skills*, or can include them.[62] When managers are working on budgets, for example, they may need computer skills in order to use spreadsheet software such as Microsoft® Excel®. Most employees are promoted to their first management position primarily because of their technical skills. As we know, there is rapid, continual technological change in the global economy.[63] So to be successful, we need to keep up with the latest technology in our field.[64]

Technical skills vary widely from job to job, and they are the easiest of the three management skills to develop.[65] This is why recruiters don't place technical skills high on their list of skills they seek in new employees. Therefore, we do not focus on developing technical skills.

Interpersonal Skills

Interpersonal skills *involve the ability to understand, communicate, and work well with individuals and groups through developing effective relationships*. Interpersonal skills are also called human, people, and soft skills.[66] Our interpersonal relationships lead to gaining influence.[67] Our interpersonal skills are important and they can be developed.[68]

We get our jobs done through our relationships with coworkers, supervisors, teams, and the organization in general.[69] The resources you need to get the job done are made available through relationships, both inside (employees) and outside (customers, suppliers, others) the firm.[70] Organizations are seeking employees with good interpersonal skills,[71] and business schools are placing more emphasis on people skills.[72] However, students have been found to have weak interpersonal skills.[73] So we should develop our interpersonal skills.[74]

Interpersonal skills are based on several other skills including communicating, teamwork, power, politics, negotiating, networking, motivating, conflict, diversity, and ethical skills. We will discuss these interpersonal skills throughout the book and you will have the opportunity to develop your interpersonal skills through this course.

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Decision-Making Skills

Decision-making skills *are based on the ability to conceptualize situations and select alternatives to solve problems and take advantage of opportunities*. It's about understanding "What is going on."[75] Because decisions are based on conceptual ability, decision-making skills are often referred to as *conceptual skills*. Clearly, the decisions you have made over your lifetime have affected you today. Leadership decisions determine the success or failure of organizations,[76] so organizations are including employees in decision making,[77] and they are training their people to improve their decision-making skills.[78]

Decision-making skills are based on several other skills, including conceptual, diagnostic, analytical, critical-thinking, quantitative reasoning, and time management skills, as well as the ability to be creative, perceive trends, anticipate changes, and recognize problems and opportunities. We will discuss decision-making skills throughout the book and you will have the opportunity to develop your decision-making skills through this course.

WORK Application 7

Select a manager, preferably one who is or was your boss, and state the specific management skills he or she uses on the job.

Skills Needed Based on Management Level

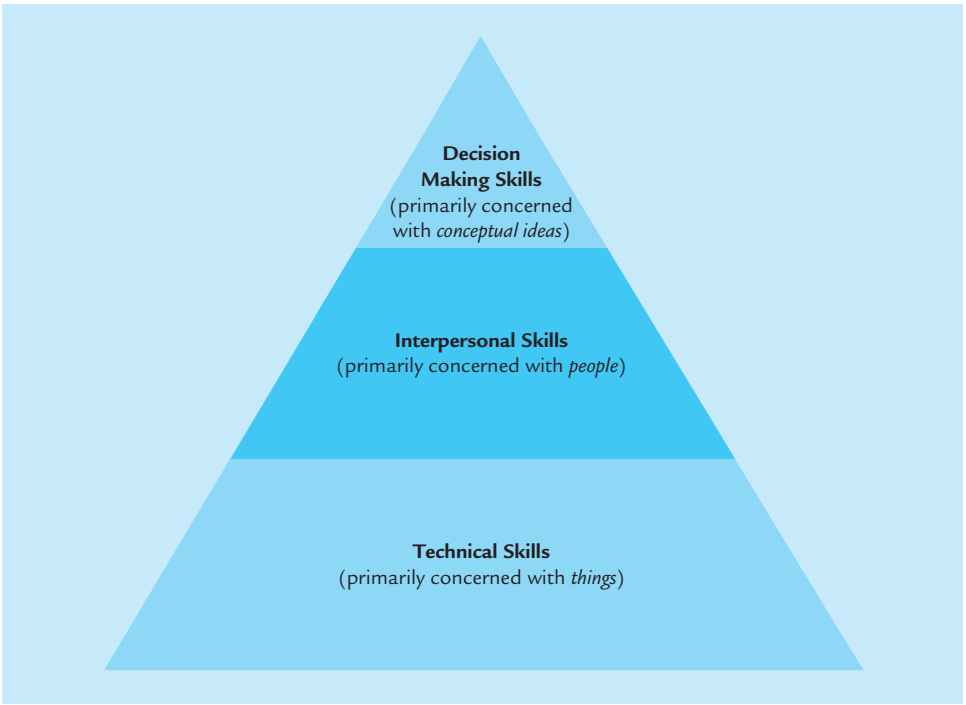
Although managers need all three skills, the need for each skill does vary based on the level of management. Top-level managers have a greater need for interpersonal and decision-making skills than technical skills. Middle-level managers have a balanced need for all three skills. First-level managers have a greater need for technical and interpersonal skills than decision-making skills.[79]

To summarize, review the management skills in Exhibit 1.2; then complete Concept Application 1.

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EXHIBIT 1.2 Management Skills



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CONCEPT APPLICATION 1
Managerial Leadership Skills

Identify each activity as being one of the following types of management skills:

a. technical
b. interpersonal
c. decision-making

_____ 1. A manager is giving an employee sincere thanks for finishing the job ahead of schedule.
_____ 2. A manager is scheduling employee work hours for next week.
_____ 3. A manager is writing an e-mail.
_____ 4. A manager is running a machine for an employee who is out sick.
_____ 5. A manager is trying to figure out why the department is behind schedule.

OPENING CASE *APPLICATION*

3. What managerial leadership skills does CEO Andrew Mason use at Groupon? Can leadership skills be developed, and can you develop your leadership skills through this course?

Mason did develop skills as he earned his college degree. As discussed in this section, you can develop your leadership skills through this course if you put in the effort and work hard at it.

(continued)

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(Opening Case Application 3 continued)

Andrew Mason has technical skills as he developed two online businesses. He also has interpersonal skills as he motivates employees to continually grow the business. Mason clearly has decision-making skills as he is the one who had the conceptual ability to develop the successful business model discussed in this chapter. Google made Mason a $6 billion buyout offer, but Mason made the decision to turn it down.[80]

Mason didn't start out as the leader of a successful company. Excited by the power of technology to change the world, Mason developed Policy Tree, a policy debate visualization tool, and won a scholarship to attend the University of Chicago Harris School of Public Policy in 2006. In school for only three months, Mason dropped out after receiving an unexpected offer to fund the idea that would become The Point, in 2007, a ground-breaking approach to online collective action and fundraising. The Point was losing money and his sponsor asked about making money, so in 2008 Mason founded Groupon.[81] Through this experience Mason developed managerial leadership skills that helped fuel his success at Groupon.

Learning Outcome 3 *List the ten managerial roles based on their three categories.*

Managerial Leadership Roles

In this section, we discuss what leaders do on the job—the management roles they play.[82] How well managers implement the managerial leadership roles affects their performance.[83] You will notice an overlap between the skills and roles because the leader needs the competencies (knowledge, skills, and ability—KSAs) to enact the managerial roles.[84] So if we want to be successful leaders, we need to develop the interrelated sets of competencies to play the leadership roles.[85]

Henry Mintzberg identified ten managerial roles that leaders perform to accomplish organizational objectives.[86] The roles represent the dominant classes of behavioral activities that managers or their followers perform. Mintzberg defined a *role* as a set of expectations of how a person will behave to perform a job. He grouped these roles into three categories. *The* **managerial role categories** *are interpersonal, informational, and decisional.* Mintzberg's management role theory has been supported by research studies. Exhibit 1.3 shows the ten managerial roles, based on the three categories.

EXHIBIT 1.3 Managerial Roles

Interpersonal Roles	Informational Roles	Decisional Roles
Figurehead	Monitor	Entrepreneur
Leader	Disseminator	Disturbance-handler
Liaison	Spokesperson	Resource-allocator
		Negotiator

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Interpersonal Roles

The **interpersonal leadership roles** *include figurehead, leader, and liaison.* Clearly, interpersonal skills are needed to successfully play interpersonal roles.

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Figurehead Role

Leaders perform the *figurehead role* when they represent the organization or department in legal, social, ceremonial, and symbolic activities. Top-level managers are usually viewed as figureheads for their organization, and Steve Jobs of Apple is an excellent example.[87] However, leaders throughout the organization perform the figurehead role.

Here are some of the figurehead activities: signing official documents (expense authorization, checks, vouchers, contracts, and so on); entertaining clients or customers as official representatives and receiving/escorting official visitors; informally talking to people and attending outside meetings as an organizational representative; presiding at meetings and ceremonial events (awards ceremonies, retirement dinners, and so on).

Leader Role

According to Mintzberg, the *leader role* is that of performing the *management functions* to effectively operate the managers' organization unit. Therefore, the leader role pervades all managerial behavior. In other words, the leader role influences how the leader performs other roles. You will learn more about the leadership role throughout this book.

The many leader behaviors that can be performed by managers or followers include hiring and training, giving instructions and coaching, and evaluating performance.

Liaison Role

WORK Application **8**

Give one job example of the specific behavior you or some other leader displayed when performing the figurehead, leader, and liaison roles. For each of the three roles, be sure to identify the leader as you or another, the role by its name, and the specific behavior.

Leaders perform the *liaison role* when they interact with people outside their organizational unit. Liaison behavior includes networking to develop and maintain relationships that lead to power and influence;[88] also called having connections.[89] Organizational politics is an important part of the liaison role, and you will learn more about how to gain and use power, how to conduct politics, and how to network in Chapter 5.

Liaison role behaviors include serving on committees with members from outside the organizational unit, attending professional/trade association meetings, and calling and meeting with people to keep in touch.

Informational Roles

The **informational leadership roles** *include monitor, disseminator, and spokesperson.* With the rapid technology changes, the informational roles become increasing important.[90] Informational role success is also based on interpersonal skills. You will learn more about informational roles in Chapter 6.

Monitor Role

Leaders perform the *monitor role* when they gather information. Most of the information is analyzed to discover problems and opportunities, and to understand events outside the organizational unit. Some of the information is passed on to other people in the organizational unit (disseminator role), or to people outside the unit (spokesperson role). In the past, leaders never had to communicate with so many constituencies.[91]

Information is gathered by behavior, including reading memos, reports, professional/trade publications, newspapers, and so forth; talking to others; attending meetings inside and outside the organization, and so forth; and observing (visiting a competitor's store to compare products, prices, and business processes).

Disseminator Role

Leaders perform the *disseminator role* when they send information to others in the organizational unit. Managers have access to information that is not available to employees. Some of the information that comes from higher levels of management must be passed on to employees, either in its original form or paraphrased. Using information translated into skills that advance the organization is now often being referred to as *knowledge management.*

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Information is passed on in one or both of the following forms: orally through voice mail, one-on-one discussions, and group meetings; or written through e-mail and snail mail (U.S. mail). You will learn how to conduct meetings in Chapter 8.

WORK Application 9

Give one job example of the specific behavior you or some other leader conducted when performing the monitor, disseminator, and spokesperson roles. For each of the three roles, be sure to identify the leader as you or another, the role by its name, and the specific behavior.

Spokesperson Role

Leaders perform the *spokesperson role* when they provide information to people outside the organizational unit. People must report information to their boss (board of directors, owner, managers) and people outside the organizational unit (other departments, customers, suppliers). Leaders lobby and serve as public relations representatives for their organizational unit.

Some examples of the spokesperson role being performed would include meeting with the boss to discuss performance and with the budget officer to discuss the unit budget, answering letters, or reporting information to the government (the IRS, OSHA).

Decisional Roles

The **decisional leadership roles** *include entrepreneur, disturbance-handler, resource-allocator, and negotiator.* Decision-making skills are important and they are needed to be successful in the decisional roles.[92]

Entrepreneur Role

Leaders perform the *entrepreneur role* when they innovate and initiate improvements. Leaders often get ideas for improvements through the monitor role.

Examples of entrepreneur behavior would include developing new or improved products and services, developing new ways to process products and services, or purchasing new equipment.

WORK Application 10

Give one job example of the specific behavior you or some other leader performed when fulfilling the entrepreneur, disturbance-handler, resource-allocator, and negotiator roles. For each of the four roles, be sure to identify the leader as you or another, the role by its name, and the specific behavior.

Disturbance-Handler Role

Leaders perform the *disturbance-handler role* when they take corrective action during crisis or conflict situations. You will learn more about how to handle conflicts in Chapter 12. Unlike the planned action of the entrepreneur role to take advantage of an opportunity, the disturbance is a reaction to an unexpected event that creates a problem. Leaders typically give this role priority over all other roles.

Examples of emergencies leaders may have to resolve are a union strike, the breakdown of important machines/equipment, needed material arriving late, or a tight schedule to meet.

Resource-Allocator Role

Leaders perform the *resource-allocator role* when they schedule, request authorization, and perform budgeting activities. Deciding who gets the organization's limited resources is an important task and one of the biggest challenges that affects success.[93]

Examples of resource allocation would include deciding what is done now, done later, and not done (time management; priorities); determining who gets overtime or a merit raise (budgeting); or scheduling when employees will use material and equipment.

Negotiator Role

Leaders perform the *negotiator role* when they represent their organizational unit during routine and nonroutine transactions that do not include set boundaries (such as only one price and term of a sale/purchase for a product/service, or pay of an employee). When there are no set prices or pay conditions, leaders can try to negotiate a good deal to get the resources they need. You will be involved in employment negotiations, and you will learn how to negotiate in Chapter 5.

Examples of negotiations would include a pay and benefits package for a new professional employee or manager, labor union contracts, or a contract with a customer (sale) or supplier (purchase).

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Although managers are responsible for all ten roles, which roles are most important—and which roles the manager performs and which are performed by other leaders—will vary based on the manager's job. The relative emphasis placed on these roles will vary as a function of organizational technology, the day-to-day problems faced by leaders, and the task environment of their organizations. After answering Work Applications 8 through 10, you should realize that we perform the leadership roles regardless of management title.

OPENING CASE *APPLICATION*

4. What managerial leadership roles does CEO Andrew Mason perform at Groupon?

Like all managers who are good leaders, Andrew Mason plays all ten roles, and he delegates these roles to his followers. Mason's interpersonal roles include signing documents; entertaining customers; running and attending meetings; leadership development and evaluation of followers; and serving on committees and boards. His informational roles include extensive communications.

In the decisional role category, Mason is a two-time online entrepreneur. His other roles include developing new territories to keep ahead of the competition, dealing with disturbances created by local business laws and regulations. As stated, Mason is a tough negotiator. The local business only gets around 25 percent of their regular price and Groupon typically gets 50 percent of every dollar it collects.[94]

CONCEPT APPLICATION 2
Leadership Managerial Roles

Identify each of the following 15 behaviors by its leadership role. Write the appropriate letter in the blank before each item.

Interpersonal roles
a. figurehead
b. leader
c. liaison

Informational roles
d. monitor
e. disseminator
f. spokesperson

Decisional roles
g. entrepreneur
h. disturbance-handler
i. resource-allocator
j. negotiator

_____ 6. A leader is disciplining an employee for being late again.

_____ 7. A leader is visiting another company to watch how it makes its widgets.

_____ 8. A leader of a stock brokerage firm is trying to get the telephones turned back on so brokers can use the phone.

_____ 9. A leader is having new customized software developed for the organizational unit.

_____ 10. A leader is resolving a conflict between two employees who were verbally arguing how to get the job done and refusing to work together.

_____ 11. A leader is holding a meeting with his followers to discuss a new company policy.

_____ 12. A production leader is talking to a maintenance person about fixing a machine.

_____ 13. A leader is conducting a job interview to replace a retiree.

_____ 14. A sales leader is signing an expense reimbursement form for a sales representative.

_____ 15. A leader is holding a press conference with a local newspaper reporter.

_____ 16. A leader is assigning followers to various accounts and giving them the files.

(continued)

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(Concept Application 2 continued)

_____ 17. A leader is working to make a deal on the compensation package for a new supervisor.

_____ 18. A leader is presenting organizational pins to employees for five years of service during a special meeting of all organizational unit members.

_____ 19. A leader is reading daily e-mail.

_____ 20. A leader and his manager, who must authorize the funding of the project, are discussing having new customized software developed for the leader's department.

Levels of Analysis of Leadership Theory

One useful way to classify leadership theory and research is by the levels of analysis. *The three* **levels of analysis of leadership theory** *are individual, group, and organizational.* Most leadership theories are formulated in terms of processes at only one of these three levels. You will briefly learn about each level in this section, and the details of each in Parts One through Three of this book.

Individual Level of Analysis

The individual level of analysis of leadership theory focuses on the individual leader and the relationship with individual followers. The individual level can also be called the *dyadic process.* As discussed in our definition of leadership, dyadic theories view leadership as a reciprocal influencing process between the leader and the follower.[95] There is an implicit assumption that leadership effectiveness cannot be understood without examining how a leader and follower influence each other over time. Recall that influencing is also about the relationships between leaders and followers. As a leader and as a follower, you will influence other individuals and they will influence your behavior at work. You will also have multiple dyadic relationships at work. In Part One, "Individuals as Leaders" (Chapters 1 through 5), the focus is on the individual level of analysis.

Group Level of Analysis

The second level of analysis of leadership theory focuses on the relationship between the leader and the collective group of followers. This level is also called *group process.* Group process theories focus on how a leader contributes to group effectiveness. Extensive research on small groups has identified important determinants of group effectiveness, which you will learn about in Part Two, "Team Leadership" (Chapters 6 through 8). An important part of group process is meetings. In Chapter 8, you will learn how to conduct productive meetings.

Organizational Level of Analysis

The third level of analysis focuses on the organization. This level is also called *organizational process.* Individuals and teams contribute to organizational success. Organizational performance in the long run depends on effectively adapting to the environment and acquiring the necessary resources to survive, and on whether the organization uses an effective transformation process to produce its products and services.

Much of the current research at the organizational level focuses on how top-level managers can influence organizational performance. Successful leaders, like Ursula Burns of Xerox, have had a positive impact on organizational performance.[96] You will learn more about determinants of organizational performance in Part Three, "Organizational Leadership" (Chapters 9 through 12).

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YOU Make the ETHICAL Call

1.2 *Executive Compensation*

Executive compensation is a complex and controversial subject. On one side of the debate, executive management skill has a direct impact on the success of the firm. Top executives should be paid multimillion-dollar compensation packages; after all, if it weren't for some effective CEOs, companies would not be making the millions of dollars of profits they make each year. They deserve a piece of the pie they helped create.[97]

On the other side, top executives have been criticized for being overpaid, especially as CEO pay rose while employees were getting laid off during the recession. In 2010, the economic recovery remained frail, unemployment was high, and corporate profits were roughly flat, up 1.5 percent from where the stock market peaked. However, CEO compensation jumped 27 percent in 2010 as employees pay went up only 2.1 percent. The median pay in 2010 was $9 million. Philippe Dauman of Viacom was the highest paid with total compensation of $84.5 million, followed by Ray Irani of Occidental Petroleum with $76.1 million, and Michael White of DirectTV was third with $32.9 million in compensation.[98]

1. Do executives deserve to make around 200 times as much as the average worker?
2. Is it ethical for managers to take large pay increases while laying off employees and when giving them only small raises?
3. Are companies being socially responsible when paying executives premium compensation?

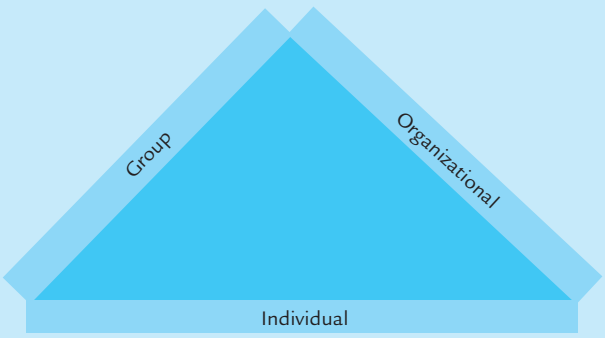
Learning Outcome 4 *Explain the interrelationships among the levels of leadership analysis.*

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Interrelationships among the Levels of Analysis

Exhibit 1.4 illustrates the interrelationships among the levels of analysis of leadership theory. Note that the individual is placed at the bottom of the triangle because group and organizational performance are based on individual performance. It has been said that an organization is the sum of all of its individual transactions. Depending on the size of the group and organization you work for, your individual performance may influence the performance of the group and organization positively or negatively.

EXHIBIT 1.4 Interrelationships Among the Levels of Analysis of Leadership Theory



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If individual performance is low throughout the organization, the triangle will fall because it will not have a firm foundation, or performance will be low. The group part of the triangle supports the organizational side. So if the groups are not effective, the triangle will fall or organizational performance will be low. At the same time, both group and organizational performance affect the performance of the individual. If groups are highly motivated and productive (or not productive), chances are the individual will be productive (or not) as well. Success tends to be contagious. Working for a winning organization, like Google, tends to motivate individuals to perform at their best to stay on top. However, an organization and its performance are more than the simple sum of its individuals and groups.

Leadership Theory Paradigms

The first thing we need to do is define the important concepts of this section. *A* **leadership theory** *is an explanation of some aspect of leadership; theories have practical value because they are used to better understand, predict, and control successful leadership.* So, the main purpose of a theory is to inform practice. It has been said that there is nothing as practical as a good theory. There are four major classifications of leadership theory, also called *research approaches,* used to explain leadership. **Leadership theory classifications** *include trait, behavioral, contingency, and integrative.* In this section, we discuss each classification and indicate where it is covered in more detail later in this book.

A **leadership paradigm** *is a shared mindset that represents a fundamental way of thinking about, perceiving, studying, researching, and understanding leadership.* The leadership paradigm has changed in the 60 years during which it has been studied. The four major classifications of leadership theory all represent a change in leadership paradigm. You will also learn about the change in paradigm from management to leadership in this section.

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Learning Outcome 5

Describe the major similarity and difference between the trait and behavioral leadership theories.

The Trait Theory Paradigm

Early leadership studies were based on the assumption that leaders are born, not made. Researchers wanted to identify a set of characteristics or traits that distinguished leaders from followers, or effective leaders from ineffective leaders. **Leadership trait theories** *attempt to explain distinctive characteristics accounting for leadership effectiveness.* Researchers analyzed physical and psychological traits, or qualities, such as high energy level, appearance, aggressiveness, self-reliance, persuasiveness, and dominance in an effort to identify a set of traits that all successful leaders possessed.

WORK Application **11**
Give examples of traits and behaviors that helped make your past or present manager a successful leader.

The list of traits was to be used as a prerequisite for promoting candidates to leadership positions. Only candidates possessing all the identified traits would be given leadership positions. Hundreds of trait studies were conducted during the 1930s and 1940s to discover a list of qualities. However, no one has come up with a universal list of traits that all successful leaders possess, or traits that will guarantee leadership success. On the positive side, although there is no list of traits that guarantees leadership success, traits that are related to leadership success have been identified. You will learn more about trait theory in the next chapter.

The Behavioral Leadership Theory Paradigm

By the 1950s, most of the leadership research had changed its paradigm, going from trait theory to focusing on what the leader actually did on the job (behavior). In the continuing

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quest to find the one best leadership style in all situations, researchers attempted to identify differences in the behavior of effective leaders versus ineffective leaders. Another subcategory of behavioral leadership focuses on the nature of management work. Thus, **behavioral leadership theories** *attempt to explain distinctive styles used by effective leaders, or to define the nature of their work.* Mintzberg's ten managerial roles are an example of behavioral leadership theory. Behavioral research focuses on finding ways to classify behavior that will facilitate our understanding of leadership.

Hundreds of studies examined the relationship between leadership behavior and measures of leadership effectiveness. However, there was no agreement on one best leadership style for all management situations. On the positive side, organizations develop leadership skills. And researchers did identify two generic dimensions of leader behavior: task- and people-oriented leadership, both of which have importance in accounting for leadership effectiveness. You will learn about some of the most popular behavioral leadership theories in Chapter 3 and about applications in Chapter 4.

Learning Outcome 6 — *Discuss the interrelationships between trait and behavioral leadership theories and contingency theories.*

The Contingency Leadership Theory Paradigm

Both the trait and behavioral leadership theories were attempts to find the one best leadership style in all situations; thus they are called *universal theories.* In the 1960s, it became apparent that there is no one best leadership style in all situations; the right answer often depends on the situation.[99] Thus, the leadership paradigm shifted to contingency theory. **Contingency leadership theories** *attempt to explain the appropriate leadership style based on the leader, followers, and situation.*

In other words, which traits and/or behaviors will result in leadership success given the situational variables? The contingency theory paradigm emphasizes the importance of situational factors, including the nature of the work performed, the external environment, and the characteristics of followers. One aspect of this research is to discover the extent to which managerial work is the same or different across different types of organizations, levels of management, and cultures. Some cultures prefer autocratic leaders while others prefer participative leaders. You will learn about the major contingency leadership theories in Chapter 4.

The Integrative Leadership Theory Paradigm

More recently, theorists have conceptualized leadership more broadly with a mutual influence process.[100] In the mid-to-late 1970s, the paradigm began to shift to the integrative, to tie the theories together, or neo-charismatic theory. As the name implies, **integrative leadership theories** *attempt to combine the trait, behavioral, and contingency theories to explain successful, influencing leader–follower relationships.* Researchers try to explain why the followers of some leaders are willing to work so hard and make personal sacrifices to achieve the group and organizational objectives, or how effective leaders influence the behavior of their followers.[101] Theories identify behaviors and traits that facilitate the leader's effectiveness, and explore why the same behavior by the leader may have a different effect on followers, depending on the situation. The integrative leadership theory paradigm is emphasized in our definition of leadership and thus influences this entire book, especially Chapters 6 through 12.

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From the Management to the Leadership Theory Paradigm

In the first section, we talked about some of the differences between a manager (formal position of authority) and a leader (has the ability to influence others), because the overarching paradigm has shifted from management to leadership. Successful managers use a truly participative form of leadership as they share the responsibility of management with employees, or as leadership responsibilities are transitioned from managers to team members.

WORK Application **12**
Does your present or past manager focus more on management or leadership? Explain, using examples.

Some of the differences identified between managers and leaders are as follows. Managers focus on doing things right, and leaders focus on doing the right thing. Managers are concerned with stability and the best way to get the job done, and leaders place greater concern on innovation and change. The old command-and-control model of management just doesn't work in today's global economy.[102] The old-style autocratic managers are not climbing today's corporate ladder. Today, managers must be able to lead through motivating others and creating favorable conditions for success, as well as manage. So, going from the **management to the leadership theory paradigm** *is a shift from the older autocratic management style to the newer participative leadership style of management.*

Although we have made a comparison between managers and leaders, you should realize that successful leaders are also good at managing, and successful managers are good leaders. There is overlap between the two paradigms—a successful organization needs both managers and leaders. The focus is on how to integrate management and leadership, or on developing leadership skills of managers and employees, which we do in this book. To simplistically stereotype people as either managers or leaders does little to advance our understanding of leadership. Also, because the term *manager* is an occupational title, to foster an inaccurate, negative stereotype of managers is certainly not our intent.

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CONCEPT APPLICATION 3
Leadership Theories

Identify each research approach by its leadership theory paradigm. Write the appropriate letter in the blank before each item.

a. trait
b. behavioral
c. contingency
d. integrative
e. management to leadership

_____ 21. A researcher is attempting to understand how leaders who are charismatic influence followers to achieve high levels of performance.

_____ 22. A researcher is attempting to determine if there is a relationship between how a manager dresses and leadership effectiveness.

_____ 23. A researcher is investigating the specific company, work environment, and followers to determine which leadership style is most appropriate.

_____ 24. A researcher is teaching managers to understand when to include employees in their decision making.

_____ 25. A researcher is observing managers' actions to determine how much time they spend giving employees praise for doing a good job versus criticism for poor performance.

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Objectives of the Book

The overarching objectives of this book are reflected in its subtitle: *Theory, Application, and Skill Development.* We call it a three-pronged approach, with these objectives:

- To teach you the theory and concepts of leadership
- To develop your ability to apply leadership theory through critical thinking
- To develop your leadership skills in your personal and professional life

There has been a call to bridge the gap between research and practice,[103] to make education more relevant to practice,[104] and to offer different teaching methods and approaches.[105] To meet these calls, unlike most other books, ever since our first edition, we don't simply teach you leadership theory; we develop your ability to apply the theory and actually develop skills. This book offers some unique features relating to each of the three objectives (see Exhibit 1.5). So that you can get the most from this book, we encourage you to turn back to the preface and read our goals in writing this book, and the descriptions of the features.

EXHIBIT 1.5 The Three-Pronged Approach: Features of the Book

Theory	Application	Skill Development
Research	Opening cases	Self-assessment exercises
References	Work applications	Case role-playing exercises
Learning outcomes	Concept applications	Step-by-step behavior models
Key terms	Critical thinking questions	Behavior model videos
Summary	Cases	Developing your leadership skills exercises
Review questions	Video cases	Behavior modeling training
	You make the ethical call	

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Leadership Theory

Throughout this book, you will learn about several leadership theories and the concepts on which they are based. As shown in Exhibit 1.5, this book offers six features to help you learn the leadership theory. The theories and concepts you will learn are based on research (EBM) and are considered important (AACSB), as discussed below.

Evidence-Based Management

Research-based knowledge is relevant and useful to practice, and evidence-based management translates theory into practice.[106] **Evidence-based management (EBM)** *means that decisions and organizational practices are based on the best available scientific evidence.* Faculty have been prompted to use evidence-based management in

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their courses.[107] The theories and concepts you will learn in this book are based on scientific research (not opinions, outdated research, or myths). If you look at the references at the end of this book, you will see that a majority of the journal articles are published by the premier professional association, the Academy of Management (AoM), and what it publishes is relevant to practicing leaders. However, unlike the AoM journals, we write about the theory and concepts at a level that is easy to read and understand.

Published research influences what people do in organizations; however, many organizations do not practice EBM.[108] As suggested by the past AoM president, our objective is to move you away from making decisions based on personal preference and unsystematic experience toward EBM. If you go to the next level and apply EBM theory and concepts, you can develop your leadership skills.

AACSB Assurance of Learning Standards

It is important to develop managerial leadership competencies. So how do we know what leadership competencies are important to your career success? For the answer, we turned to the Association to Advance Collegiate Schools of Busin**ess** (AACSB), which gives accreditation to business schools. Below is a list of competencies taken from the AACSB assurance of learning standards. Normally, the curriculum management process will include learning experiences in such general knowledge and skill areas as:[109]

- **Communication abilities** (Chapter 6 covers communication skills)
- **Ethical understanding and reasoning abilities** (Chapters 2 and 10 cover ethics, and each chapter includes "You Make the Ethical Call" situations)
- **Analytic skills** (This general skill is developed throughout the book through multiple applications and skill development exercises)
- **Use of information technology** (This is not normally a topic of a leadership course)
- **Dynamics of the global economy** (Chapters 10–12 include global issues)
- **Multicultural and diversity understanding** (Chapter 10 covers these topics)
- **Reflective thinking skills** (This general skill is developed throughout the book through multiple applications and skill development exercises especially the self-assessment exercises)

All of the Developing Your Leadership Skills exercises state which AACSB assurance of learning standard skills are developed through completing the exercise.

Application of Leadership Theory

Brian Tracy said, "I believe through learning and application of what you learn, you can solve any problem, overcome any obstacle and achieve any goal that you can set for yourself." However, one of the most common criticisms of management education is the tendency to focus on teaching of theory, but not on the application of theory to practice.[110] Building on John Dewey's notion of learning-by-doing, students need to be given the opportunity to properly apply what they learn.[111] To this end, this book offers you seven features (see Exhibit 1.5, the Application column) to practice applying the concepts and theory.

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Leadership Skill Development

To be successful, knowledge must be translated into skills.[112] The third and highest-level book objective is to develop leadership skills that can be used in your personal and professional life as a leader and as a follower. AACSB standards include developing managerial leadership skills.[113] To this end, this book offers you six features (see Exhibit 1.5, the Skill Development column) to help you develop your leadership skills. We also discuss a model vs. an exhibit, behavior modeling, and the need to practice the skills next.

Models versus Exhibits

All of the behavioral "models" in this book provide specific, step-by-step instructions, and they are labeled as models. They are "prescriptive models." When we offer general advice without a specific instruction, we label the guidelines "exhibits." However, the purpose of both models and exhibits is to help you improve your performance.

Behavior Modeling Leadership Skills Training

Behavior modeling is the only multiple leadership skills training that has been empirically validated by rigorous procedures.[114] In some of the chapters, the features listed in Exhibit 1.5 are combined in behavior modeling skills training. For these exercises you may do a self-assessment. In any case, follow this procedure: (1) read the step-by-step models, (2) watch a behavior modeling video, and (3) practice the skill (which may include role-playing) through a skill-development exercise. The last step in this training is using the skill in your personal and/or professional life for further development of the leadership skill.

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Practice

We need to be more mindful of our own skill development and take more control over our own leadership development.[115] As with just about everything in life, you cannot become skilled by simply reading or trying something once. Recall that Vince Lombardi said that leaders are made by effort and hard work. If we want to develop our leadership skill, we need to learn the leadership concepts, apply the concepts, and do the preparation and skill-development exercises. But most important, to be successful, we need to be disciplined to practice using our leadership skills in our personal and professional lives. Think of leadership development like a sport. If you don't practice, you will not be good at it, and you will lose the skill you do have over time.

Flexibility

This book has so many features that they most likely cannot all be covered during a one-semester course. Your instructor will select the features to be covered that best meet the course objectives and the amount of class time available. You may do some or all of the features not covered in the course on your own, or do some exercises with the assistance of others outside of class.

Organization of the Book

This book is organized by level of leadership analysis and leadership theory paradigm. See Exhibit 1.6 for an illustration of the organization of this book.

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EXHIBIT 1.6 Organization of the Book, Including Level of Analysis and Leadership Paradigm

PART ONE. INDIVIDUALS AS LEADERS (individual-level analysis of leadership theory—–Trait, Behavioral, and Contingency Leadership Theories)

1. Who Is a Leader and What Skills Do Leaders Need?
2. Leadership Traits and Ethics
3. Leadership Behavior and Motivation
4. Contingency Leadership Theories
5. Influencing: Power, Politics, Networking, and Negotiation

PART TWO. TEAM LEADERSHIP (group-level analysis of leadership theory—–Integrative Leadership Theory Applications)

6. Communication, Coaching, and Conflict Skills
7. Leader–Member Relations and Followership Correct
8. Team Leadership and Self-Managed Teams

PART THREE. ORGANIZATIONAL LEADERSHIP (organizational-level analysis—–Integrative Leadership Theory Applications)

9. Charismatic and Transformational Leadership
10. Leadership of Culture, Ethics, and Diversity
11. Strategic Leadership and Change Management
12. Crises Leadership and the Learning Organization

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Chapter Summary

The chapter summary is organized to answer the six learning outcomes for Chapter 1.

1. Briefly describe the five key elements of leadership.

Leader–Follower—leaders influence the behavior of followers, and vice versa. *Influencing*—the relationship between leaders and followers, who change roles. *Organizational objectives*—outcomes that leaders and followers want to accomplish. *Change*—needed to achieve objectives. *People*—leadership is about leading people.

2. Identify and define the managerial leadership skills.

The three skills are technical, interpersonal, and decision-making. *Technical skills* involve the ability to use methods and techniques to perform a task. *Interpersonal skills* involve the ability to understand, communicate, and work well with individuals and groups through developing effective relationships. *Decision-making skills* are based on the ability to conceptualize situations and select alternatives to solve problems and take advantage of opportunities.

3. List the ten managerial roles based on their three categories.

Leaders perform the interpersonal role when they act as figurehead, leader, and liaison. Leaders perform the informational role when they act as monitor, disseminator, and spokesperson. Leaders perform the decisional role when they act as entrepreneur, disturbance-handler, resource-allocator, and negotiator.

4. Explain the interrelationships among the levels of leadership analysis.

The three levels of leadership analysis are individual, group, and organizational. The individual performance affects the group and organizational performance. The group performance affects the organizational performance. And both the group and organization affect the performance of the individual.

5. Describe the major similarity and difference between the trait and behavioral leadership theories.

The similarity between the trait and behavioral leadership theories is that they are both universal theories, or they are seeking one best leadership style for all situations. The difference is the approach to determining leadership effectiveness. Trait theory attempts to explain personal characteristics of effective leaders, whereas behavioral theory attempts to explain what leaders actually do on the job.

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6. Discuss the interrelationships between trait and behavioral leadership theories and contingency theories.

The contingency theory is interrelated with the trait and behavioral leadership theories because it uses these two theories as the foundation for determining which leadership style is most appropriate—based on the leader, followers, and situation.

7. Define the following key terms (in order of appearance in the chapter).

Select one or more methods: (1) fill in the missing key terms from memory; (2) match the key terms from the following list with their definitions below; (3) copy the key terms in order from the list at the beginning of the chapter.

_____ is the influencing process of leaders and followers to achieve organizational objectives through change.

_____ is the process of a leader communicating ideas, gaining acceptance of them, and motivating followers to support and implement the ideas through change.

_____ involve the ability to use methods and techniques to perform a task.

_____ involve the ability to understand, communicate, and work well with individuals and groups through developing effective relationships.

_____ are based on the ability to conceptualize situations and select alternatives to solve problems and take advantage of opportunities

_____ are interpersonal, informational, and decisional.

_____ include figurehead, leader, and liaison.

_____ include monitor, disseminator, and spokesperson.

_____ include entrepreneur, disturbance-handler, resource-allocator, and negotiator.

_____ are individual, group, and organizational.

_____ is an explanation of some aspect of leadership; theories have practical value because they are used to better understand, predict, and control successful leadership.

_____ include trait, behavioral, contingency, and integrative.

_____ is a shared mindset that represents a fundamental way of thinking about, perceiving, studying, researching, and understanding leadership.

_____ attempt to explain distinctive characteristics accounting for leadership effectiveness.

_____ attempt to explain distinctive styles used by effective leaders, or to define the nature of their work.

_____ attempt to explain the appropriate leadership style based on the leader, followers, and situation.

_____ attempt to combine the trait, behavioral, and contingency theories to explain successful, influencing leader–follower relationships.

_____ is a shift from the older autocratic management style to the newer participative leadership style of management.

_____ means that decisions and organizational practices are based on the best available scientific evidence.

Key Terms

behavioral leadership theories, 20
contingency leadership theories, 20
decisional leadership roles, 15
decision-making skills, 11
evidence-based management (EBM), 22
influencing, 7
informational leadership roles, 14
integrative leadership theories, 20
interpersonal leadership roles, 13
interpersonal skills, 11
leadership, 6
leadership paradigm, 19
leadership theory, 19
leadership theory classifications, 19
leadership trait theories, 19
levels of analysis of leadership theory, 17
management to the leadership theory paradigm, 21
managerial role categories, 13
technical skills, 10

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Review Questions

1. Why is leadership important?
2. What are the five key elements in our leadership definition? How do the elements interrelate to form this definition?
3. Are leaders born or made, and can leadership skills be developed?
4. List and define the interpersonal managerial leadership roles.
5. List and define the informational managerial leadership roles.
6. List and define the decisional managerial leadership roles.
7. List and define the levels of analysis of leadership theory.
8. List and define the leadership theory paradigms.
9. How can the shift in paradigm from management to leadership possibly help—and hurt—the management profession?
10. What are the three-pronged approach objectives to this book?

Critical Thinking Questions

The following critical-thinking questions can be used for class discussion and/or as written assignments to develop communication skills. Be sure to give complete explanations for all questions.

1. Should leadership be the manager's job, or should leadership be a shared process?
2. Are you interested in sharing leadership, or do you prefer to be a follower?
3. Some people say the hard skills (finance, quantitative analysis) are more important for managers than soft skills (interpersonal skills), and some say the opposite is true. What is your view?
4. Should leadership courses focus on teaching students about leadership or on teaching students to be leaders?
5. Can college students really develop their leadership skills through a college course? Why or why not?
6. Is leadership ability universal, or is a good leader in one environment also effective in another? For example, can a leader in one industry (e.g., a hospital) be successful in another industry (e.g., a bank)?

CASE

Steve Jobs—Apple

At age 21 Steven Jobs coproduced the first PC and Apple Computer, at 25 Jobs was running Apple with a net worth of $25 million, and at age 26 he made the cover of *Time* magazine. More recently, Steven Jobs was given the title CEO of the decade,[116] ranked #1 by *Fortune* on its list of "Smartest People in Tech," calling him the smartest CEO,[117] and he consistently ranks high on its list of "Business-Person of the Year."[118] He is also ranked by *Forbes* in the top 50 of "The Richest People in America."[119] Jobs cofounded Apple Computer with Steven Wozniak back in 1976. Today, Apple is ranked #1 on *Fortune*'s "The World's Most Admired Companies,"[120] #1 on *Business Week*'s "The 50 Most Innovative Companies,"[121] it pulled ahead of its arch rival Microsoft to become the most valuable tech company,[122] and its revenue growth rate is near three times that of Microsoft and more than triple that of IBM, HP, and Intel.[123]

Most of us never have any real influence over any industry, but Jobs is ranked #1 for his leadership and power in influencing five industries: computers, Hollywood, music, retailing, and wireless phones/telcom. So far, no one has had more influence over a broader range of businesses than Jobs.[124] Some say that his influence actually transformed these industries.[125] Let's trace his business success, and failure, along the way to his earning these titles for himself and Apple as he influenced these five industries.

Together with Steve Wozniak, Jobs developed and built the personal computer (PC) in 1976 in Jobs's family garage. The Apple II kicked off the PC era in 1977, and in 1984 the Macintosh altered the direction of the computer

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industry. Jobs is also credited with desktop publishing, laser printers, and for pioneering personal computer networks. So Jobs was an influential founder of the PC industry. However, as Apple grew through selling stock, Jobs lost controlling ownership of his company. In 1985, Jobs was fired by the board of directors because he was controlling and unmanageable.[126] Although considered a failure at this point, Jobs didn't give up and bounced back very quickly.

In 1985, Jobs started NeXT (a computer platform development company specializing in the higher education and business markets). In 1986, he started what became Pixar Animated Studios and became its CEO. Jobs contracted with Disney to produce a number of computer-animated feature films, which Disney would cofinance and distribute. Films included *Toy Story*, *A Bug's Life*, *Monsters, Inc.*, *The Incredibles*, and Cars. In 2006, Jobs sold Pixar to Disney and remains on its board as its largest shareholder. In fact, Jobs's shares in Disney are worth more than five times the value of his Apple stock. So Jobs clearly influenced Hollywood films.

In 1997, Apple acquired NeXT to use its technology in its Apple computers and Jobs returned to Apple after a 12-year exile. Apple was close to bankruptcy so the board appointed Jobs to his earlier position as CEO. Jobs changed its culture back to a more entrepreneurial atmosphere. Jobs is a visionary, and Apple's success is born of continual and artful innovation in every aspect of its business. According to Jobs, Apple's success comes from simply trying to make great products that we want for ourselves, and then hope that customers love them as much as we do.

You are most likely aware of Apple's innovations under Jobs's leadership. Through the iPod and iTunes and Apple Stores Jobs has clearly influenced music and retailing. The iPhone has clearly influenced wireless phones/telecom. Its new iTunes App Store is also set to be very profitable as Apple plans to take a 30 percent cut on any media sales, and if they don't agree, they can be thrown off the devices,[127] and its iTunes Match should be a success as well.[128] The iPad was months ahead of the largely absent competition in the tablet market. And by the way, Apple never shortchanged its very profitable PC business. The PC market share has increase from 3 percent to 9.7 percent during the last decade,[129] and its MacBook Air is transitioning from disk-drive-based laptop computers to the radical flash-memory.[130] So PC founder Jobs continues to influence the computer industry.

Although Jobs has been so influential in five industries and has been called perhaps the most charismatic CEO in business history,[131] Jobs is also among the most controversial figures in business. People who have worked for Jobs over the years have mixed reactions to his leadership style. Some call him temperamental, aggressive, tough, intimidating, and very demanding. He has been known to verbally attack people who make mistakes and are not meeting goals and expectations. He is known as a control freak with a compulsive attention to details. He routinely sends products back to the lab, kills new products in their crib, demands new features or euthanizes old ones.[132] He is outspoken and not afraid to anger employees and customers. Even many who feared him also had great respect for him as he did inspire loyalty, enthusiasm, and high levels of performance through continuous innovation. Even people who left Apple say it's often brutal and Jobs hogs the credit, but they've never done better work.[133]

Jobs dictator-like control can cause havoc for Apple partners too.[134] Jobs has publicly criticized Adobe and Microsoft even though they supply Apple with the software for Apple's operating systems. In a combative mood, Jobs launched a public fight with Adobe over Apple's refusal to support Adobe's popular Flash software.[135] He has also attracted Samsung, even though it makes some of the most important components Apple buys, including memory chips and displays. Samsung makes the brains inside the iPhone and IPad.[136]

In his 50s, Jobs has had health problems. In 2009, he took a six-month leave and underwent a liver transplant. In early 2011 he took another leave without saying when he would return or why he was leaving, but stated: "I love Apple so much and hope to be back as soon as I can."[137] Although on leave, showman Jobs unexpectedly presented the iPad 2 in San Francisco in March 2011,[138] and Jobs still calls the shots from home.[139] In June 2011, Jobs took a break from his medical leave again to show off a new online music service called iTunes Match.[140] Jobs also attended a Cupertino, California City Council Meeting to personally present the plans for a new massive headquarters to be built by 2015 on 150 acres of land, which he said will look a little like a spaceship.[141] On August 24, 2011, Jobs resigned as CEO naming Tim Cook as his successor. Jobs died in October 2011. Many people question, can Apple succeed without Jobs?[142] Only time will tell. In any case, Jobs found the secret to career fulfillment—he discovered something he was good at and loved to do. We can't all be another Steve Jobs, but we can find career fulfillment.

GO TO THE INTERNET: To learn more about Steve Jobs and Apple, visit its Web site **(http://www.apple.com)**.

Support your answers to the following questions with specific information from the case and text or with information you get from the Web or another source.

1. Explain how each of the five elements of our definition of leadership applies to Steve Jobs leading Apple.

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2. Identify leadership skills Jobs has that lead to his and Apple's success. Which skill is his strongest?
3. Identify managerial leadership roles played by Jobs as CEO of Apple. Which role was the most important?
4. Which level of analysis is the primary focus of this case?
5. Explain how each of the leadership theory classifications applies to this case, and which one is most relevant.
6. Without Steve Jobs, will Apple's performance deteriorate and go back into a crisis of near bankruptcy again? Why or why not?

CASE EXERCISE AND ROLE-PLAY

Preparation: Assume that you were a powerful board member of Apple in the 1980s. You were involved in helping Jobs select the new CEO, John Sculley, and that you have worked with Jobs on the board for five years. The board has disagreed with Jobs's recommendation to replace Sculley as CEO, so Sculley stays in power and Jobs is out of power. You have to tell Jobs the bad news, which you know he will not want to hear.

Your instructor may elect to let you break into small groups to share ideas and develop a plan for your meeting with Jobs. If you develop a group plan, select one leader to present the meeting with Jobs.

Role-Play: One person (representing him- or herself or their group) conducts the meeting with Steve Jobs (to notify him that Sculley stays as CEO and he is removed from power) before the entire class. Or, multiple role-plays may take place in small groups of five to six; however, role-players can't conduct the meeting in front of the team that developed the meeting plan. They must present to a group that did not develop the plan for the meeting. The people role-playing Jobs should put themselves in his place. How would you feel about being thrown out of the company you cofounded and led? Don't forget that Jobs is rather hot tempered and very outspoken.

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VIDEO CASE

Leadership at P.F. Chang's

Rick Federico is chairman and CEO of P.F. Chang's, which owns and operates a chain of Asian restaurants across the country. During the time he has been head of the company, Federico has taken on the huge tasks of taking the company public and launching Pei Wei, the firm's chain of diners. In addition, he has developed management teams and laid out clear expectations for his employees. He has earned the respect of his managers, his workers, his customers, and even his competitors.

Rick Federico knows the restaurant industry. He began his career as a dishwasher for a steak house and worked his way up the management chain. So he understands everyone's job, from busboy to chef to manager. Federico expects results from every team, manager, and worker. But he expects no less from himself. He believes his greatest tasks as a leader involve remaining focused on his customers, his workers, and the food they serve. As P.F. Chang's grows Federico wants to be sure that the quality of service, atmosphere, and food are always at their highest.

1. Describe some of Rick Federico's personal leadership traits.
2. Choose three of the leadership managerial roles and explain how Rick Federico might use them as head of P.F. Chang's.

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Developing Your Leadership Skills 1

Getting to Know You by Name

Preparing for This Exercise

Complete Self-Assessment 2 on page 9, and read the accompanying information before class.

Objectives

1. To get acquainted with some of your classmates
2. To get to know your instructor

The primary AACSB learning standard skill developed through this exercise is communication ability.

To develop your skill at remembering and calling people by their name

In this chapter you learned about the importance of leader–follower relationships. An important part of leadership relations is making people feel important. It has been said that the sweetest sound people can hear is their own name. Have you ever had a person whom you don't know (or hardly know) call you by name? Have you ever had a person whom you believe should be able to call you by name not be able to—or call you by the wrong name? How did these two situations make you feel? Being able to call people by name will improve your leadership effectiveness.

Tips for Remembering People's Names

- The first thing you need to do is make a conscious effort to improve your skill at calling people by name. If you say you are no good at remembering names, you won't be. If you say "I can be good at it," and work at it, you can.
- When you are introduced to a person, consciously greet them by name. For example, say, "Hi, Juan, glad to meet you." Then, during your conversation, say the name a few more times until it sticks with you. Use the person's name when you ask and answer questions.
- When you meet a person whom you will see again, without being introduced by someone else, introduce yourself by name—and get the other person to say their name. Then, as before, call them by name during your conversation. For example, if you get to class early and want to talk, introduce yourself to someone rather than just talking without learning the person's name. If someone you don't know just starts talking to you, introduce yourself.
- When you are in a small group being introduced to people, don't just say hi and ignore the names. Depending on the number of people, you can say hello and repeat each name as you look at the person. If you don't remember a name, ask. Just say, "I'm sorry, I didn't get your name." You may also want to mentally repeat the person's name several times. As you talk to the people in the group, use their names. If you forget a name, listen for others to say it as the discussion continues.
- If you have been introduced to a person and forget their name the next time you meet them, you have two choices. You can apologetically ask them their name. Or, before talking to the person, you can ask someone else for the person's name, and then greet them by name. Again, use the person's name during the conversation.
- Use association to help you remember. For example, if you meet John Higby you could picture him hugging a bee. If the person's name is Ted, picture him with the body of a teddy bear. If you know the person likes something, say tennis, picture them with a tennis ball on their head. Think of other people you know who have the same name and make an association.
- Ask for a business card, or ask for the person's telephone number so you can write it down; this will help you remember the name.
- Write down the person's name and some information about them after you meet them. Sales representatives use this technique very effectively to recall personal information they may forget. If you are on a committee with people you don't know and don't see very often, use the membership list of names (or write them yourself). Then write an association for each person, so that you can identify all members (this may be done during the meeting without drawing attention). Your notes might include personal characteristics (tall, thin, dark hair) or something about their work (marketing, engineer). Then, before the next meeting, review the list of names and characteristics so you can make the association and greet each person by name.

Doing This Exercise in Class

Procedure 1 *(5–8 minutes)* Break into groups of five or six, preferably with people you do not know. In the group, have each member give his or her name and two or three significant things about himself or herself. After all the members have finished, ask each other questions to get to know each other better.

Procedure 2 *(2–4 minutes)* Can anyone in the group call the others by name? If so, he or she should do so. If not, have each member repeat his or her name. Follow with each member calling all members by name. Be sure that each person has a turn to call everyone by name.

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Procedure 3 *(5–8 minutes)* Select a person to play the spokesperson role for your group. Remember, this is a leadership course. The spokesperson writes down questions in the following two areas:

- *Course:* Is there anything more that you want to know about the course, such as any expectations or concerns that you have?
- *Instructor:* Make a list of questions for the instructor in order to get to know him or her better.

Procedure 4 *(10–20 minutes)* Each spokesperson asks the instructor one question at a time, until all questions are asked. If time permits, people who are not the spokesperson may ask questions.

Conclusion

The instructor may make concluding remarks.

Apply It *(2–4 minutes)* What did I learn from this experience? How will I use this knowledge in the future? Specifically state which tip for remembering names you will use in the future. Identify precisely when you will practice this skill: e.g., on "x" day/date when I go to class—or to work, or to a party—I will introduce myself to someone I don't know.

_____

_____

_____

Sharing

In the group, or to the entire class, volunteers may give their answers to the "Apply It" questions.

SELF-ASSESSMENT 3 Names

On the line before each statement, write Y for yes, or N for no.

_____ 1. I enjoy meeting new people.

_____ 2. I'm good at remembering people's names.

_____ 3. When I meet new people, I learn their names and call them by name.

_____ 4. I'm interested in and willing to improve my ability to remember and use names.

If you answered yes to questions 1–3, you have developed some skill in this area. Your answer to question 4 indicates whether you intend to further develop your skill. The choice is yours.

Developing Your Leadership Skills 2

Identifying Leadership Traits and Behaviors

Objective

To gain a better understanding of leadership traits and behavior

The primary AACSB learning standard skill developed through this exercise is analytic skills.

Preparing for This Exercise

Read and understand the trait and behavioral leadership theories. On the following lines, list specific traits and behaviors that you believe effective leaders have or should have. Your answers may or may not be based on your observation of successful leaders.

Traits: _____

_____

Behaviors: _____

_____

Doing This Exercise in Class

Option 1 *(5–15 minutes)* Students give their answers to the instructor, who writes them on the board under the heading of Traits or Behaviors. During or after the answers are listed, the class may discuss them.

Option 2 *(10–20 minutes)* Break into groups of five or six, and select a leader to perform the spokesperson role (remember, this is a leadership class). The spokesperson records the answers of the group, and then writes them on the board (5–10 minutes). The instructor leads a class discussion (5–10 minutes).

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